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B7
Pensions

Lecture example 1-Solution

	£
Salary	130,000
Less: Personal allowance (W1)	(3,820)
Taxable income	126,180
	£
50,200(W2)×20%	10,040
(126,180-50,200)×40%	30,392
Income tax liability	40,432
Working 1:	£
Adjusted net income 130,000 － 10,000× 100/80=130,000-12,500	117,500
Personal allowance 12,570 － (117,500 － 100,000)/2	3,820
Working 2:	£
Basic rate limit 37,700 + 12,500	50,200
Higher rate limit 125,140 + 12,500	137,640

Lecture example 2-Solution

	£
Salary	50,000
Employer's contribution-exempt benefit	0
Less Rina's contribution	(10,000)
	40,000

Lecture example 3-Solution

(a)	£
The limitation of tax relievable contribution Higher of 3,600 and 20,000	20,000
Within the limitation 20,000×80%	16,000
Above the limitation 25,000-20,000	5,000
Actually paid	21,000
(b)	£
Basic rate limit 37,700+20,000	57,700
Higher rate limit 125,140+20,000	145,140

Lecture example 4-Solution

Kelly's	£			Annual allowances unused£
2022-23	40,000 − 32,000			8,000
2023-24	Not a member			nil
2024-25	60,000 − 48,000			12,000
2025-26	Adjusted income = 300,000 Adjusted AA=60,000 − (300,000 − 260,000)/2			40,000
	Order	Total Annual allowance £	Used annual allowance £	Unused annual allowance £
2025-26	1st	40,000	40,000	0
2022-23	2nd	8,000	8,000	0
2024-25	3rd	12,000	10,000	2,000
Total			58,000	2,000
£2,000 unused annual allowance will be carried forward to 2026-27.				

Lecture example 5-Solution

	£
Employment income	285,000
Less: Personal allowance (W1)	0
Taxable income	285,000
	£
97,700(W2)×20%	19,540
(185,140 — 97,700)×40%	34,976
(285,000 — 185,140)×45%	44,937
2,500(W3)×45%	1,125
Income tax liability	100,578

Lecture example 5-Solution

Working 1:	
The limitation of tax relievable contribution： Higher of £3,600 and £285,000	£285,000
£48,000×100/80 = £60,000 ＜ £285,000	£60,000 is tax relievable
	£
Adjusted net income 285,000 － 60,000	225,000
Personal allowance	0
Working 2:	
Basic rate limit 37,700+ 60,000	97,700
Higher rate limit 125,140+ 60,000	185,140

Lecture example 5-Solution

Working 3:	£
Adjusted income	285,000
Annual allowance 60,000 — (285,000 — 260,000)/2	47,500
Gross PPS	60,000
Less: Annual allowance available 47,500+10,000	(57,500)
	2,500

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谢谢观看

THANK FOR WATCHING